CAPITAL ONE v. COWAN

22CF14002

DEBTOR'S CLAIM OF EXEMPTION

This is a limited-jurisdiction, collections case. Before the Court is the defendant-debtor's wage garnishment claim of exemption.

On 02/07/23, this Court entered a clerk's judgment by default in favor of plaintiff, against defendant, in the amount of $6,052.75.

On 04/26/23, defendant filed a wage garnishment claim of exemption. Therein, she advised that she was unwilling to agree to *any* withholding. She states the following as her finances:

- Monthly income: $3,797.25
- Spouse income: $1,751.00
- Adult son income: zero
- Savings: negligible
- Assets: real and personal property > $260,000
- Monthly expenses: $5,700.00 (approx)

A certain portion of a judgment debtor's wages are automatically exempt (*Sourcecorp, Inc. v. Shill* (2012) 206 Cal.App.4th 1054, 1058), leaving the *lesser* of: (1) 25% of the employee's disposable earning for that week; or (2) the amount by which the disposable earning for the week exceeds 30 times the federal minimum hourly wage, or stated another way 50% above the state minimum hourly wage. (CCP §706.050.) "Disposable earnings" are those earnings remaining after deduction of any amounts required by law to be withheld including social security, federal and state income taxes, and state disability insurance. (*Ahart*, Cal. Prac. Guide, *Enforcing Judgments and Debts*, § 6:1171.) Based on her filings, defendant has disposable income of $3,227.03, leaving her with a baseline garnishment ceiling of $806.76. Although plaintiff contends that defendant earns more than stated in her claim form, there is no evidence of this. The difference, however, is not material for present purposes.

Additional amounts from the baseline ($806.76) may be exempt to the extent they are necessary for the support of the judgment debtor or her immediate family. (CCP §706.051(a)(b).) There is no precise definition of what is "necessary" for the support of a judgment debtor/family. (*Ahart*, Cal. Prac. Guide, *Enforcing Judgments and Debts*, § 6:1179.) "Necessary" expenses normally include housing costs, food, insurance, automobile costs, and the like, but the court must consider the circumstances surrounding each individual case. (*J.J. MacIntyre Co. v. Duren* (1981) 118 Cal.App.3d Supp. 16, 18.) Although the burden of proof lies with the party claiming the extra necessities, exemption statutes are generally construed in favor of the debtor. (*Kono v. Meeker* (2011) 196 Cal.App.4th 81, 86.)

In terms of the necessary line items, defendant's PERS and LTD qualify as necessities, but unsecured installment repayment obligations (4.j.) are not. That comes to $350.25. As for household expenses, when the debtor is not the sole breadwinner in the house, household expense are first credited to the other adult's income, and then split: $4,841 (expenses) - $1,751 (Matt income) - $190 (4.j.) /2 = $1,450 (defendant share). This Court agrees that food, utilities and transportation are on the higher side, and reduces defendant's share to $1,000. This Court sees no reason for defendant to cover Brett's living expenses for free, so this Court imputes to defendant additional financial assistance from Brett of $800/month. That brings defendant's baseline to $256.51.

While mortgage and property taxes are necessary, using them means that this Court can consider the sizable equity ($250,000) defendant holds in the residence because paying a mortgage and taxes on real property is an investment that can be liquidated (via HELOC) to pay secured debts. In addition, defendant can sell one of her three vehicles (see 3.c.) and make a serious dent in this debt.

Based on the whole of the withholding evidence, this Court concludes that defendant has a sufficient financial position to absorb $250/month as a wage garnishment. That shall be the order. The Clerk shall provide notice of this Ruling to the parties forthwith. Plaintiff to prepare a formal Order pursuant to Rule of Court 3.1312 in conformity with this ruling.

DeREIS v. BURKE

21CV45133

CROSS-COMPLAINANT'S MOTION FOR LEAVE TO FILE AN AMENDED PLEADING

This is an action for partition of real property. There was a probate action related hereto (10PR7129). Before the Court is a motion by defendant and cross-complainant Deborah Burke for leave to file a Second Amended Cross-Complaint (hereinafter SAXC). In particular, cross-complainant wishes to augment the description of property allegedly converted by cross-defendant, which forms the basis for her second cross-action for conversion. Cross-complainant also wishes to augment the amount in controversy. Service appears to be proper. No opposition appears in the Court's registry of action.

To amend a pleading already at issue, the sponsoring party is required first to seek leave of court by way of noticed motion. (CCP §473(a)(1).) Pursuant to CRC 3.1324, the moving party must: (a) specify in the moving papers by page, paragraph, and line number the allegations proposed to be added and/or deleted; and (b) include with the moving papers a copy of the proposed amended pleading and a declaration specifying (1) the effect of the amendment(s); (2) why the amendment is necessary and proper; (3) when the facts giving rise to the amended allegations were discovered; and (4) the reasons why the request was not made earlier. Although the supporting declaration fails to explain when the new facts came to light, and why the amendment was not made earlier in this action, the absence of opposition tells this Court that no party is concerned. Thus, this Court will move on to the substantive merits.

Motions for leave to amend a pleading are directed to the sound discretion of the court. CCP §§ 473(a)(1) and 576. This discretion, however, is to be exercised liberally in favor of allowing amendments. (*Howard v. County of San Diego* (2010) 184 Cal.App.4th 1422, 1428; *Central Concrete Supply Co v. Bursak* (2010) 182 Cal.App.4th 1092, 1101-1102.) Courts may permit amendments at any stage in the proceedings, up to and including trial, so long as there is no prejudice to the adverse party. (*Atkinson v. Elk Corp.* (2003) 109 Cal.App.4th 739, 761.) Prejudice exists where amendment would require delaying the trial, resulting in loss of critical evidence, or significant added litigation burden/costs. (*Magpali v. Farmers Group* (1996) 48 Cal.App.4th 471, 486-488.) Prejudice is rare when the facts supporting a new cause of action first come to light during discovery. (*South Bay Building Enterprises, Inc. v. Riviera Lend-Lease, Inc.* (1999) 72 Cal.App.4th 1111, 1124-1125.) Although unexcused delays and lack of diligence may be considered, they alone are insufficient to deny leave. (See *Melican v. Regents of University of California* (2007) 151 Cal.App.4th 168, 175; *Honig v. Financial*